

undeveloped state of the rest of its economy means that currently Timor-Leste has little else.

The Petroleum Fund is a tool to enable the use of Timor-Leste's oil and gas wealth for the benefit of both current and future generations and prevents the Timorese from spending everything today. The petroleum wealth is many times the current size of the country's economy. Timor-Leste's SWF shields the economy from the fluctuations of oil and gas prices, so that the greatest resource of any country—human capital—ultimately develops.

Like flies attracted to rotting flesh, large amounts of money elicit the worst tendencies of politicians and intermediaries. The Petroleum Fund has \$12 billion now—and there will be even more to come with reserves still to be tapped in the Timor Sea. Timor-Leste needs to do more than just monitor its delegated managers; it needs to develop deep external partnerships so that it can ultimately transfer knowledge of asset management back to the Timorese.

Timor-Leste does not want to imitate Libya, which lost \$4 billion from 2009 to 2013, \$1 billion of it on derivatives. Troublingly, the fund's manager, Societe Generale, could not even explain how the money was lost.⁷⁸ This is on top of an episode in 2008 when Libya entrusted \$1.3 billion to Goldman Sachs, which lost 98% of it in nine equity trades and one currency trade.⁷⁹ Nauru is another sad story.⁸⁰ The small island nation established trusts in the 1960s to accumulate wealth from phosphate mining. Gross mismanagement and overspending shrank the fund from a peak of \$1 billion in 1991 to less than a tenth that size a decade later. Nauru now barely functions as a nation; the country is insolvent and three-quarters of its GDP is from external financial aid.

Preserving legitimacy of the SWF involves maintaining professionalism in its management. As Alfredo Pires, the Timor-Leste Secretary of State for Natural Resources, says, "It comes back to people and the leadership."⁸¹ Perhaps Angola, which started its SWF in 2012 with \$5 billion, should heed the empirical evidence on sub-par performance resulting from favoritism in families. Angola's SWF is run by José Filomeno de Sousa dos Santos, the thirty-five-year old son of the president who has ruled Angola since 1979. The sole fund manager is a Swiss asset manager, Quantum Global, with fewer than a dozen clients. Quantum Global's founder is a partner with dos Santos in an Angolan bank.⁸²

⁷⁸ Quoted by Scheffer, B., "Libya Wealth Fund Seeking SocGen Explanation on \$1 Billion Loss," *Bloomberg*, March 12, 2013.

⁷⁹ Coker, M., and L. Rappoport, "Libya's Goldman Dalliance Ends in Losses, Acrimony," *Wall Street Journal*, May 31, 2011.

⁸⁰ Recounted by Cox (2009).

⁸¹ Quoted by Wright, C., "East Timor: The World's Most Important Sovereign Wealth Fund?" *Euromoney*, September 2008.

⁸² See McGroarty, P., "Angolan Wealth Fund Is Family Affair," *Wall Street Journal*, Feb. 26, 2013.